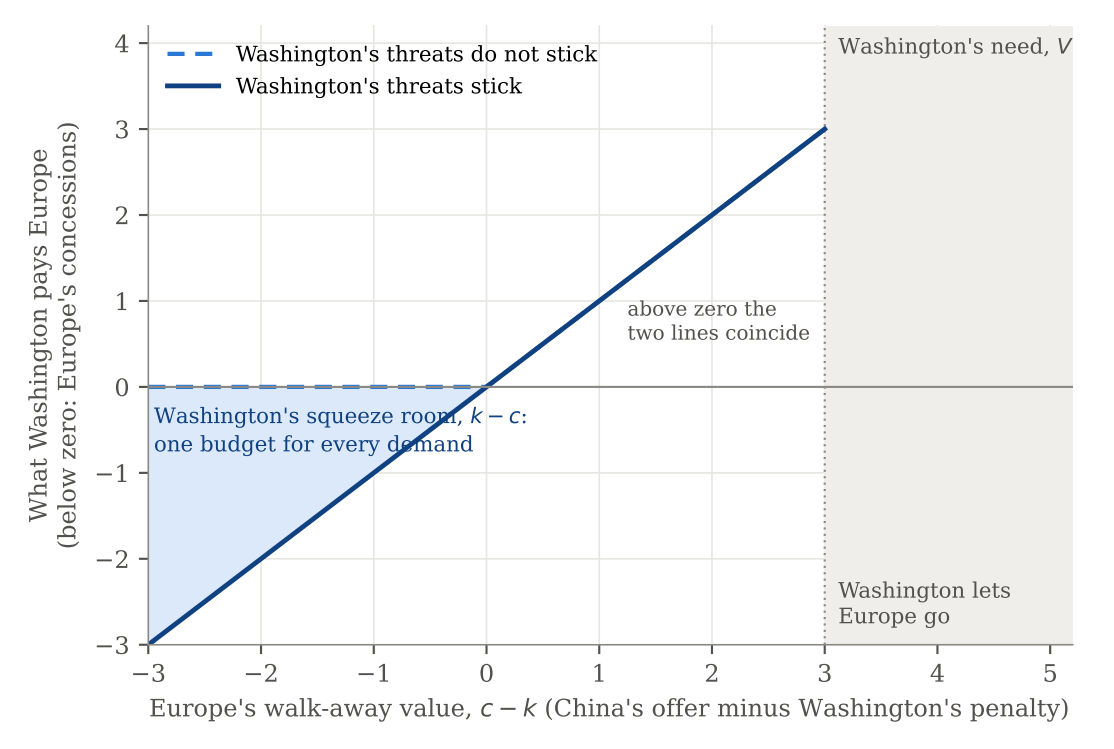
Washington's threats do not stick
Washington's threats stick
Washington's need, V
above zero the
two lines coincide
Washington's squeeze room, $k - c$:
one budget for every demand
Washington lets
Europe go
What Washington pays Europe
(below zero: Europe's concessions)
Europe's walk-away value, $c - k$ (China's offer minus Washington's penalty)
4
3
2
1
0
−1
−2
−3
−3
−2
−1
0
1
2
3
4
5